
MB 203: Macroeconomics

Course Code: MB 203

Course Name: Macroeconomics

L-T-P-C: 3-0-0-3

Prerequisites: NA

Intended for: IMBA

Mutual Exclusion: NA

Approval: 59th BoA (I-MBA curriculum); course proposal approved in the 60th BoA

Preamble

The main objective of the course is to make students understand the way economy runs and the socio-economic conditions affect their decision making at macro level. The course will focus upon theoretical and empirical understanding of the economic theories and their application in Macroeconomics.

Course Modules

- **Unit 1:** Nature and scope of Macroeconomics || National income: concepts and measurement || Circular flow of national income in two, three, and four-sector economy || National income and economic welfare (8 Hours)
- **Unit 2:** The classical theory of income and employment || Keynes's objections to the classical approach || Keynes's theory of income and employment (8 Hours)
- **Unit 3:** What is money? || The quantity theory of money || Inflation and interest rates || The nominal interest rate and the demand for money || Hyperinflation (8 Hours)
- **Unit 4:** Money supply: 100-percent and fractional-reserve banking || A model of the money supply || Monetary policy approaches and its frameworks || Money demand: different theories of money demand (8 Hours)
- **Unit 5:** Introduction to economic fluctuations || Aggregate demand: the goods market and the IS curve, the money market and the LM curve || The short-run equilibrium (10 Hours)

Text Books

1. Mankiw G., *Macroeconomics*, Worth Publisher, 2024.
2. Froyen R., *Macroeconomics: Theory and Policy*, Pearson Publisher, 2024.